

Applied Economics

BCA — Semester VI — 2023 — Answer Sheet

Subject Code:

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Group C Attempt any TWO questions[2x10=20]

2. Distinguish between microeconomics and macroeconomics.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. When the price of a commodity (P_X) rises from Rs. 100 to Rs. 200 per unit, the quantity demanded of another related commodity (Q_Y) falls from 500 units to 400 units per month. Now, (a) write whether you are computing price elasticity of demand (ϵ_{Q_X, P_X}), income elasticity of demand ($\epsilon_{Q_X, M}$), or cross elasticity of demand (ϵ_{Q_X, P_Y}) (b) compute the elasticity of demand that is appropriate; (c) also say the nature of these related commodities (x and y), based on the sign taken by the value of the elasticity.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Define the income effect. Derive the income-consumption curve under the indifference curve analysis, assuming both goods x and y as normal.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Derive the long-run marginal cost curve. Explain the relationship between the LMC and the long-run average cost (LAC) curves.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Use the TR-TC approach to explain how a firm in the market of perfect competition reaches a short-run equilibrium.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Explain the causes and the adverse effects of high inflation, by considering the current global economic situation.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Explain the functions of money in modern-day economics.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. (a) Derive MU_x and MU_y from the total utility (TU) schedule of the commodities x and y in Table 1, and (b) find point of consumer's equilibrium from the derived-marginal utility (MU) schedule for the two-commodity model under the cardinal utility analysis if $M = \text{Rs. } 5$ and $P_x = P_y = \text{Rs. } 1$ where M = the consumer's money income; P_x = the price of the commodity x; P_y = price of the commodity y; MU = Marginal Utility.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. From the following data in Table 2, compute these four concepts of national income by using the Expenditure Method: (a) GDP , (b) GNP , (c) NNP , and (d) $NNP (= NI)$ Table 2 Components for Computing the Four Concepts of National Income by Expenditure Method

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

11. Explain how a monopolist is in equilibrium in the long run with appropriate diagram.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.